INDIA AUTOMOBILES · POWERTRAIN · STRONG HYBRIDS

Hybrids in India: The Constraint Is the Catalogue, Not the Customer

Positive on strong hybrids. India's small hybrid market is a supply decision wearing the costume of a demand verdict — and the supply decision reverses in FY2027. Within our four-wheeler coverage, ***Maruti Suzuki*** *is the cleanest beneficiary;* ***Mahindra*** *is the higher-variance call.*

House note June 2026

Executive summary

India's strong-hybrid market is small, and many read that smallness as a verdict on demand. We read it as a verdict on supply. Is India's hybrid market small because Indians won't buy hybrids — or because almost nobody has been selling them?

India has, almost by accident, run an unusually tough test of hybrid demand. Roughly eight strong-hybrid models on sale against forty-plus EVs. The larger hybrids taxed at 40% while EVs sit at 5%. No central subsidy, and the one generous state waiver allowed to lapse mid-year. Under those conditions strong-hybrid sales still **grew 83% in 2025, to 107,196 units** — out-pacing EVs in percentage growth. That is not how a rejected product behaves. The number of hybrids India buys is, to a first approximation, set by how many its manufacturers put on the floor, not by what its customers are saying. **The constraint is the catalogue.**

We are positive on the segment. We expect strong hybrids to move from ~2% of passenger vehicles today toward **7–10% by 2030** — driven not by any softening of policy but by a catalogue that roughly doubles from FY2027. The tax wall is real, BEV economics are the genuine long-term risk, and our conviction is deliberately bounded to the back half of this decade. But across the next five years the supply unlock dominates, and the names levered to it are not priced for it.

The argument in six lines

- **The small size of India's hybrid market is a supply artifact, not a demand verdict.** 83% growth in 2025 off eight models — taxed at 40%, unsubsidised by the centre — is the cleanest revealed-preference signal in Indian autos. You do not grow a rejected product at that rate.
- **The binding constraint lifts in FY2027.** A launch wave — Maruti's in-house series-HEV (Fronx, then Swift/Baleno), Hyundai Creta hybrid, Kia Seltos hybrid, Renault Duster E-Tech, Mahindra XUV 3XO — roughly doubles the model count, and lands in the ₹10–25 lakh band where India actually buys. And Maruti is not waiting on policy: in the Victoris, the panoramic sunroof, 360-camera, ADAS and ventilated seats are reserved for the top trim, which is hybrid-only.
- **The policy wall is real, but it is not rising.** GST 2.0 left the EV–hybrid gap broadly intact and cut the small-hybrid slab to 18% — the single most useful thing it could have done for the cars Maruti is about to launch. The thesis needs policy to stay put, not to improve.
- **The under-priced support is residual value and running cost.** Hybrids lose ~35% of value over five years against ~57% for BEVs, and carry no charging dependency. In a used-car market formalising fast, predictable residuals are a structural tailwind.
- **The global read-across favours us on demand and warns us on policy.** Hybrids out-accelerated BEVs across the US, EU and Japan as subsidies faded — but China shows a government can legislate a powertrain out of existence. India is structurally different, not immune.
- **We are bullish for the back half of the decade, not forever.** Falling BEV costs are the real long-term risk, but it is bounded — Karnataka and Kerala have begun clawing back EV tax exemptions, so the effective gap won't close meaningfully before 2030.

Investment implications: Maruti and Mahindra

We cover two of these names in four-wheelers, and the hybrid thesis treats them very differently. One was written for this story. The other is the most interesting powertrain bet on the desk — precisely because it has spent two years arguing the other side. We frame both as relative powertrain-exposure calls and flag the triggers that would move our rating; the price targets sit in the model and are not restated here.

Maruti Suzuki — the cleanest expression of the thesis

Maruti is the stock the supply unlock was written for. It has built powertrain optionality on purpose: its FY31 plan points to roughly a quarter CNG/CBG, a quarter ICE, a quarter hybrid and 15% EV — the only mix in our coverage engineered to win whichever of those three actually wins. It does not need to be right about the powertrain war. It needs only for the war to be fought.

Exhibit 1. *Maruti has built its optionality on purpose — it is positioned to win whether CNG, hybrid or EV takes the next decade. Suzuki FY25–30 mid-term plan, India mix by FY31.*

The decisive move is the **in-house series-hybrid system**, debuting on the Fronx in Q2 FY27 and spreading to the Swift and Baleno. It does two things at once. It strips out the Toyota licensing cost that has kept strong hybrids a premium-SUV feature. And by targeting 35-plus kmpl in a sub-4m body that already qualifies for the **18% small-car GST slab**, it drags the strong hybrid down toward ₹10–15 lakh — into the heart of the market for the first time. That is the catalogue expansion and the price unlock in a single product.

The bear retort is fair, and we will not dodge it: on today's Grand Vitara, the hybrid's breakeven against the mild-hybrid runs past 2.3 lakh kilometres — too far for the average private buyer, and CNG is in fact cheaper still to run. But that is an argument about today's ₹18–20 lakh hybrid, not tomorrow's ₹12 lakh one. The cheaper in-house system is precisely the thing that shortens the maths.

And look at how Maruti is configuring the **Victoris**, because the playbook it implies is just as important. The base LXi trim is petrol-CNG only; every strong-hybrid trim sits in the upper variants. The panoramic sunroof, the 360-degree camera, the Level-2 ADAS, the heads-up display, the ventilated seats — all of it is reserved for the top ZXi+. If you want a hybrid Victoris, you take a loaded one. If you want the loaded features, you take a hybrid. It is a small piece of product engineering, but it is a telling one: Maruti is not waiting for policy to push hybrids into the mass market. It is using the variant ladder to do the work the GST regime won't. **We are constructive on Maruti on the hybrid theme** — it is the one name where the thesis and the franchise point the same way, and where the FY2027 catalogue we describe below is, in large part, Maruti's own.

Mahindra — the higher-variance call

Mahindra is the more interesting problem. It has been the loudest EV-first voice in the room: it classifies hybrids under "petrol," it opposed hybrid incentives, and its leadership has called the GST debate “settled.” Read literally, that posture is exposed. If hybrids inflect before BEVs clear ~12% of cars, and if BEV residuals stay weak, an EV-only bet looks early — and Mahindra has staked more reputation on it than anyone.

But Mahindra is not unhedged, and pretending otherwise would be lazy analysis. It is developing a strong-hybrid **XUV 3XO** for ~2026 and **range-extenders** for the BE 6 and XEV 9e — a deliberate straddle that lets it pivot if the data turns. The honest characterisation is this: Mahindra’s hybrid hedge is real but later and thinner than Maruti’s, and its public EV conviction raises the cost of being wrong. This is the **highest-variance powertrain call in our coverage** — asymmetric to the downside if hybrids inflect on schedule, vindicated if Chinese-style BEV cost declines arrive first.

We would watch two numbers above all others. **India hybrid penetration crossing ~6% before BEVs cross ~12%**, and **five-year BEV depreciation holding above 50%.** If both hold, the EV-only framing becomes a downgrade trigger and the absence of a serious hybrid bench starts to matter. If BEV costs break lower first, the same posture becomes the right call, early. We are not neutral on which is more likely — we lean toward the hybrid inflection — but the variance here is wide enough that we hold the view with less conviction than we hold Maruti’s.

India buys as many hybrids as it is offered

The case begins with a single number that the consensus has filed under the wrong heading. In 2025, with eight strong-hybrid models on sale against more than forty EVs, hybrid sales grew 83%. The street has read that as a small segment growing off a small base. We read it as the cleanest revealed-preference experiment Indian autos has produced in a decade — because the conditions were rigged against the product and it grew anyway.

Now the honest complication. You could argue the 83% flatters the picture three ways: it is off a low base; it is a Toyota number, not a market number; and it is concentrated in two SUV-MPV body styles that happen to be where India’s money is moving regardless. Each is partly true. Toyota holds north of 80% of the segment. The Innova Hycross and Hyryder alone are roughly three-quarters of all hybrid volume.

But every one of those objections is itself a catalogue fact, not a demand fact. Toyota’s 80% share is not evidence that only Toyota buyers want hybrids; it is evidence that, until recently, only Toyota was selling them at scale. The clinching data point is Maruti: it more than doubled its strong-hybrid volume in a single year — from 8,767 units in 2024 to 18,958 in 2025 — not by launching a breakthrough model, but by broadening trims and price points on the cars it already had. Add a Delta+ strong-hybrid trim; demand appears. That is supply elasticity, not demand saturation.

Step back to the cross-country view and the relationship stops being arguable. Hybrid penetration tracks the size of the catalogue almost everywhere you look — Japan at ~34% off ~34 models, Europe at ~35% off line-ups that span nearly every nameplate, the US at ~12–13% off thirty-odd. India sits alone in the bottom-left corner of the chart, at ~2% off eight. As we show in Exhibit 2, India is not a different kind of market. It is the same kind of market with the fewest doors.

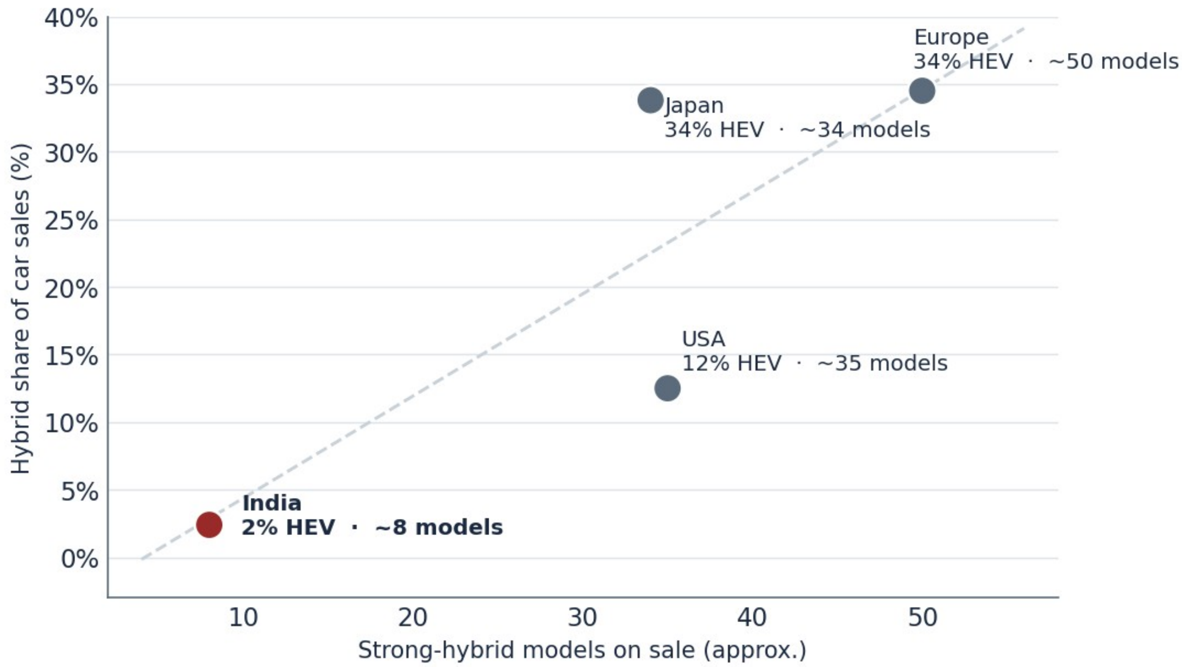

Exhibit 2. *More doors, more buyers: hybrid penetration tracks the size of the catalogue, and India has by far the fewest doors. Model counts are estimates; the relationship is not.*

And the segment has been climbing the whole time, against a static line-up. Strong-hybrid volumes have gone from ~41,000 in FY23 to ~105,000 in FY25 — a near-tripling pulled forward by new trims and price points rather than new nameplates. The market has been squeezing every drop of demand out of eight models. The question the rest of this note answers is what happens when the eight becomes sixteen.

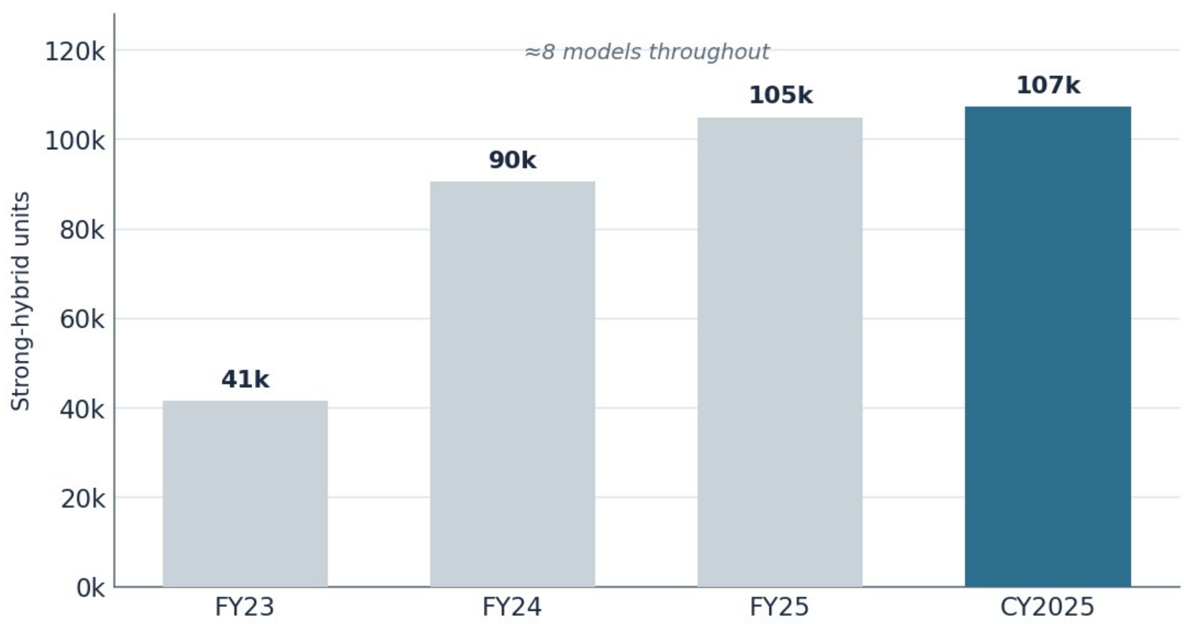

Exhibit 3. *India's strong-hybrid market has nearly tripled in three years against a roughly eight-model catalogue — the wrong shape for a segment that buyers have rejected.*

The catalogue roughly doubles in eighteen months

If the segment's size is set by its catalogue, then the single most important fact about India's hybrid market is that the catalogue is about to change shape. The FY2027 launch wave is not a rumour or a roadmap slide — it is a dense, front-loaded cohort of confirmed and advanced-stage programmes, and it is concentrated exactly where the volume is.

Brand	Entry		Mid (Belly)		Premium		Super Premium	
	<₹1 mn	₹1-1.5 mn	₹1.5-2 mn	₹2-2.5 mn	₹2.5-3 mn	₹3-4 mn	₹4-5 mn	>₹5 mn
Toyota		Hyryder		Innova Hycross		Camry	Vellfire	
Maruti	Victoris	Grand Vitara		Invicto				
	Fronx hybrid		GV 7-seater					
	Swift / Baleno HEV	Sub-4m MPV						
Honda		City e:HEV						
		Elevate e:HEV			ZR-V e:HEV	CR-V e:HEV		
Hyundai		Creta hybrid	Ni1i 3-row			Palisade		
Kia		Seltos hybrid						
Renault		Duster E-Tech						
Nissan		Tekton hybrid						
Mahindra	XUV 3XO hybrid		BE 6 (REx)	XEV 9e (REx)				
Skoda-VW	Kylaq hybrid							

On sale today · Confirmed planned · Probable / under study

Exhibit 4. *The catalogue, drawn out. The black cells are what India can buy today — mostly Toyota, plus a thin Maruti/Honda bench. The purple and red cells are the FY2027 wave: half a dozen brands moving in at once, and overwhelmingly in the ₹10–25 lakh range where India actually buys. Press-reported dates and prices, indicative.*

The caveat belongs in the open, not the footnotes: Indian launch timing slips, and this list has slipped already — the Fronx hybrid alone has wandered from 2025 to 2027 as Maruti wrestled the hardware into a sub-4m body. Treat every date here as indicative. What does not slip is the direction. Half a dozen makers who sat out the segment are now building into it at once, and they are not doing it on a hunch — they are doing it because CAFE-III compliance from April 2027 effectively requires an electrified bench, and a self-charging hybrid is the cheapest one to build.

The part that changes the segment's shape, not merely its size, is the in-house series-hybrid. Until now a strong hybrid in India meant a Toyota system in a ₹18–25 lakh SUV. Maruti's homegrown series-HEV — a small petrol engine acting purely as a generator, architecturally closer to Nissan's e-Power than to Toyota's power-split — is designed to deliver 35-plus kmpl without the licensing cost, in cars that sell below ₹15 lakh. That is the difference between adding models to a premium niche and opening the segment to the mass market. The catalogue does not just get longer in FY2027. It gets cheaper.

The wall is real, but it isn't rising

Start with the obvious objection. India taxes EVs at 5% and most strong hybrids at 40%. That gap is the defining feature of the regime, and it is the opposite of the markets — the US, EU, Japan — where the global hybrid takeoff actually happened. There, hybrids and EVs faced converging treatment; here they face a chasm. Anyone who tells you the gap doesn't matter is selling something.

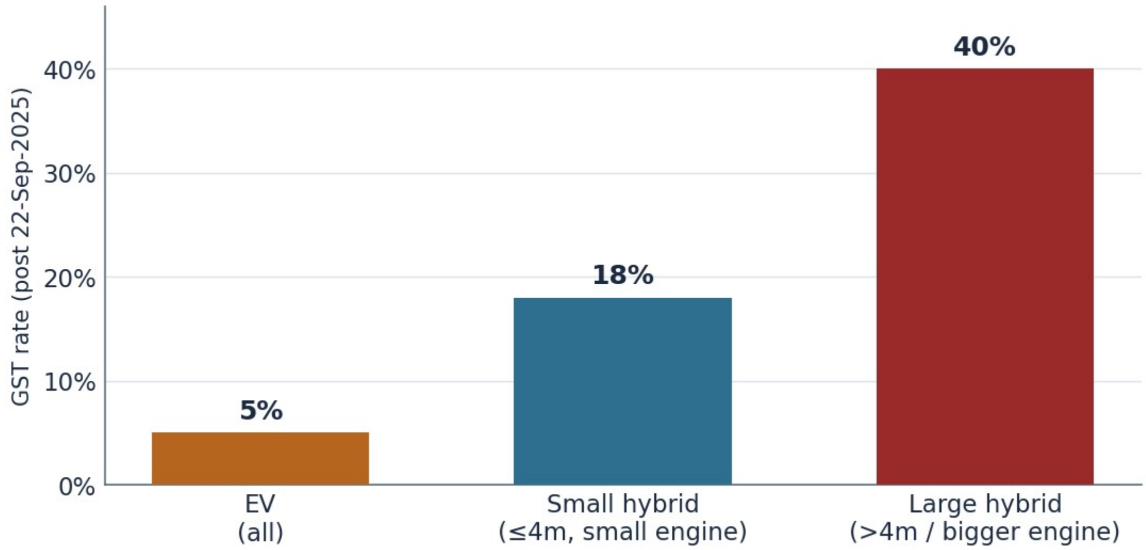

Exhibit 5. *The wall is real — but GST 2.0 left it standing rather than raising it, and the 18% small-hybrid slab is the door Maruti is about to walk through.*

Here is the part the bears under-weight: the wall stopped rising. GST 2.0, effective September 2025, did not widen the gap — it trimmed it. Large hybrids came down from an effective ~43% to a flat 40%, a modest ~3pp cut. Far more important, small cars and small hybrids dropped to 18%. That is not a rounding error for our thesis; it is the single most useful thing the Council could have done for the sub-4m series-hybrids Maruti is about to launch. The cars at the centre of the FY2027 unlock sit in the friendly slab, not the punitive one.

State policy is the wild card, and the lesson there is graduated. Uttar Pradesh's 2024 road-tax waiver cut on-road hybrid prices by ₹2–4 lakh and briefly turned the state into one of India's largest hybrid markets — proof of how violently volumes respond to price. Then it lapsed in October 2025 and sales slowed at once — proof that state waivers are a catalyst, not a foundation. We treat them as high-beta and low-durability: a renewal in UP, or a Maharashtra or Karnataka following suit, is a near-term volume catalyst; a Chhattisgarh-style exclusion is the bear case. Neither belongs in the base case.

That leaves the two policy debates that actually bound the thesis. CAFE-III, from April 2027, cut the strong-hybrid super-credit from 2.0 to 1.6 while leaving EVs at 3 — a real tilt toward BEVs, but a modest erosion of hybrid compliance value, and one that still leaves hybrids earning their keep. And NITI Aayog continues to hold the ZEV-only line, declining so far to widen the definition to include hybrids, with a lifecycle-emissions study still pending. **The thesis does not require any of this to break the hybrids' way.** It requires only that the wall stay roughly where it is while the catalogue fills in behind it. On current policy, that is precisely the base case — and CAFE-III, for all its EV tilt, is itself the reason Maruti and Mahindra are building hybrids at all.

Why residual values strengthen the hybrid case

The TCO debate in India is conducted almost entirely on fuel cost, and that leaves out one of the largest numbers in the calculation. Over five years, the average battery EV loses 57% of its value; the average hybrid loses 35%. On a ₹40 lakh-equivalent vehicle that gap is worth more than the fuel savings the EV was supposed to deliver. Residual value is a quietly large variable in the total-cost picture, and it points the same way the charging map does.

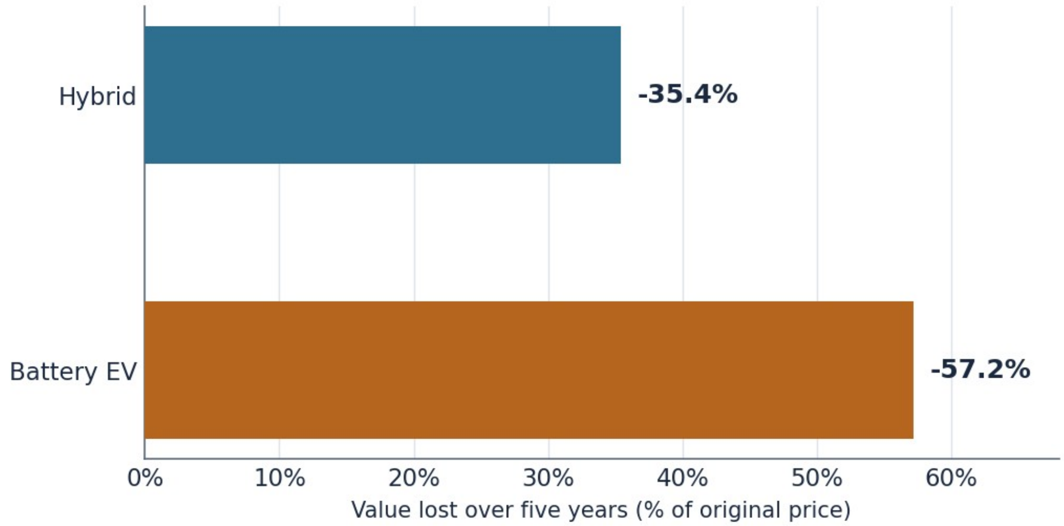

Exhibit 6. *Over five years the average BEV loses two-thirds more of its value than the average hybrid — a line item the running-cost debate often leaves out. iSeeCars, 5-year-old vehicles sold Mar 2025–Feb 2026.*

Now the complication, because the hybrid case is not a clean sweep on running cost. On the Grand Vitara, independent testing puts the hybrid's breakeven against the mild-hybrid past 2.3 lakh kilometres, and CNG — at roughly ₹3/km against the hybrid's ₹3.45 — is genuinely cheaper to run, boot space permitting. For a low-mileage private buyer choosing on fuel alone, the strong hybrid does not obviously win today. That is the truth, and it is why today's hybrid is a high-mileage and fleet proposition more than a universal one.

Which is exactly why the two forces in this note compound. Drop the upfront premium with the in-house series-HEV, and the breakeven that looks unreachable on a ₹19 lakh SUV becomes ordinary on a ₹12 lakh one. Layer on a used-car market that is formalising fast — Spinny, Cars24, OEM-certified programmes — which rewards exactly the predictable residuals hybrids offer and punishes the volatility BEVs have shown. India has already had its cautionary tale: the BluSmart collapse put EV fleet-residual risk on the front page. The residual argument is not a side-note to the hybrid case. For the private buyer, it may be the case.

What the world tells us — and what it doesn't

The global tape looks, at first glance, like an unqualified endorsement. As EV subsidies were pulled, hybrids out-accelerated pure BEVs across every major Western market and Japan, while plug-in hybrids and range-extenders drove China's entire NEV surge. The bull could rest the case here. We won't, because the read-across cuts both ways, and the honest version is more useful than the triumphant one.

Market	Hybrid / electrified share	What actually drove it
USA	HEV ~12–13%; electrified ~22%	EV tax credit repealed Sept 2025; HEVs near ICE price
Europe	HEV 34.5% (largest single powertrain)	Subsidy cuts; 2035 ICE ban softening; full line-ups
Japan	HEV ~34%; BEV <3%	Domestic multi-pathway bet; thin charging; ~34 models
China	NEV ~50%+, but strong HEV ≈ skipped	Policy: HEVs never got NEV plates or tax breaks
India	HEV ~2%; ~8 models	Catalogue scarcity + a 5%/40% tax wall

Exhibit 7. *Four markets, one lesson: a country's powertrain mix follows its policy and its product line-up, not some fixed national taste. India's mix is the most supply-starved of the five.*

Two readings matter. The bullish one is the US and Japan: where charging is thin, fuel is dear and subsidies fade, buyers reach for the hybrid, and they do so on economics and familiarity rather than mandate. That is India's fundamental profile almost exactly. The cautionary one is China — and it is the more instructive. Strong, non-plug hybrids were not rejected by Chinese consumers; they were **legislated out**. Beijing denied HEVs the green plates, the purchase-tax break and the licence-plate exemptions it handed BEVs and plug-ins, and the segment simply never formed. The lesson is sobering: a determined government can make a viable powertrain disappear by withholding status from it.

So we use these as scenario bookends, not templates. The bull bookend is a US/Japan path where economics and a filling catalogue carry hybrids to high-single or low-double-digit share. The bear bookend is a China-style outcome where India's BEV-first central policy hardens, the catalogue is allowed to stay thin, and the segment is capped by fiat. **India is structurally different from all four — not immune to any of them.** That is precisely why the catalogue, the one variable producers control directly, is the swing factor rather than policy, which they don't.

Where we would be wrong

A bull case is only worth holding if you can state the bear case that would break it, in the same plain language. Here is ours, and we do not think it is weak. The genuine threat is not the tax wall — it is the BEV cost curve. If Chinese-style battery economics arrive in India through BYD, MG and a re-energised Tata, the EV's sticker premium narrows, its running-cost edge holds, and the hybrid's sweet spot — the gap it occupies between expensive BEVs and dirty ICE — closes from the EV side. The early signs are not nothing: EU BEV registrations re-accelerated in the second half of 2025, and Chinese BEVs out-grew plug-in hybrids in 2025 for the first time in three years.

But the bear case has to be argued symmetrically, and that is the part it usually isn't. The 5% rate on EVs is not a constant of nature; it is a policy choice, and it will not survive forever if BEV volumes become large enough to hurt state finances. Karnataka has just shown how. Faced with a roughly ₹2,100 crore revenue shortfall in FY25–26 — with EV exemptions cited as a contributing cause — the state ended its full EV road-tax exemption from April 2026 and re-introduced a tiered 5/8/10% lifetime tax. Kerala moved similarly in 2025, hitting EVs over ₹15 lakh with 8% and over ₹20 lakh with 10%. The 5% central GST rate is sticky, but the effective EV tax burden is the central rate plus state choices — and the state choices have begun to drift the other way. As BEV adoption grows, the pressure to claw back exemptions grows with it. **We do not expect the effective 5%-vs-40% gap to narrow meaningfully before 2030.** The bear case from BEV cost compression is real; it is also bounded.

Three further risks deserve naming and sizing. Charging build-out, if it scales faster than we assume, erodes the no-charging-anxiety advantage that anchors the hybrid case. Policy can harden rather than hold — more states adopting the Chhattisgarh exclusion, or a NITI lifecycle study that rules against hybrids, would each tighten the cap. And rare-earth magnet supply is a shared constraint that hits hybrids and EVs alike, though it modestly favours hybrids on absolute magnet content per vehicle. None of these is fatal on its own; together, in a bear case, they keep hybrids stuck at 3–5% rather than climbing to our 7–10%.

This is why we bound the call. We are bullish on the strong-hybrid segment, and on Maruti as its cleanest expression, through the back half of this decade — the window in which the FY2027 catalogue fills in and BEV cost parity has not yet arrived. Beyond 2030 the picture is genuinely two-sided, and we will not pretend to see through it. It also means the largest piece of hybrid capex on the table — Toyota's ₹20,000 crore Maharashtra plant, Maruti's new hybrid lines — carries real terminal-value risk if the window closes early. We are positive for five years. We are not positive forever, and a note that claimed otherwise would deserve less trust, not more.

The trade

Strip everything else away and one variable decides this. Not the tax rate, which is hostile but stable. Not consumer appetite, which eight models have already demonstrated. **The catalogue.** India's hybrid market has been small because India's hybrid catalogue has been small, and the catalogue roughly doubles from FY2027. That is the whole thesis, and it is why we are positive — bounded, but positive — on the segment and on the names levered to it.

We expect strong-hybrid penetration to climb from ~2% toward **7–10% of passenger vehicles by 2030**, behind BEVs on policy support but ahead on total cost of ownership and residuals. Within our coverage, **Maruti Suzuki is the cleanest expression** of that view — it owns much of the FY2027 catalogue, its in-house series-HEV is the price unlock, and its multi-fuel mix means it wins whichever powertrain prevails. **Mahindra is the higher-variance call** — hedged through the XUV 3XO hybrid and INGLO range-extenders, but exposed by an EV-first posture it has argued too loudly to abandon cheaply.

What we are watching

- **The catalogue itself** — monthly hybrid registrations broadening beyond the Grand Vitara and Hyryder, which today are ~99% of roughly 8,750 units a month. The first sustained broadening is the signal the thesis is playing out.
- **A sub-40% hybrid GST slab, or a positive NITI lifecycle study** — either would turn us materially more bullish, and neither is in our base case.
- **Three or more mass-market HEVs landing under ₹15 lakh** — the price-and-catalogue unlock made concrete; the Fronx hybrid is the proof point.
- **The Mahindra tripwires** — hybrid penetration crossing ~6% before BEVs cross ~12%, and five-year BEV depreciation holding above 50%. Both holding turns the EV-only posture into a downgrade trigger.

It probably will not be a clean, straight line — Indian launch dates slip, state policy lurches, and the BEV cost curve is a real long-run threat. But the next five years belong to a market that is finally being offered the product it has been quietly asking for. **We rate the segment positive, Maruti as our cleanest beneficiary, and Mahindra as the call we hold with both conviction and humility.**

Basis of preparation

Built on two in-house evidence dossiers (India hybrid scale, GST 2.0, state policy, CAFE-III, OEM strategy and global read-across) supplemented by current-channel research: Business Today and Autopunditz (CY2025/FY2026 volumes), Vahan/EVreporter (penetration), Storyboard18/Cartoq/Autocar/Team-BHP (Maruti and Mahindra hybrid programmes), Business Today and InfluenceMap (CAFE-III super-credits), and iSeeCars (residual values). Unit volumes, GST rates and shares are reported; model counts and FY2030 penetration are estimates; launch dates and prices are press-reported and indicative. Figures mix CY2025, FY2025 and FY2026 and are labelled where used.